

Course Code: ANL201

Title of the ECA: Transformation of Fast Retailing's business post COVID-19 world in a growing e-commerce business presence

Submission date: 18th March 2021

Introduction

Fast Retailing adopts the vision for changing clothes, changing conventional wisdom, change the world. Its mission statement is to continuously design unique great quality clothing that people will desire to wear, and the customers are happy and satisfied when wearing the apparel. Fast Retailing strives to organise “information-driven SPA” company activities to inspire people lives and maintain corporate responsibility. (Fast Retailing [FR], 2021)

Business problem

The COVID-19 has greatly pressured the survival of many companies and businesses such as the apparel retailers. Some of the problems faced may include cashflows problem, impacted sales, zero revenue, closed stores due to forced governmental policies or closed borders, and high rising cost eg. courier charges, rental charges, manpower costs to maintain the overall operations of the business. Due to all the earlier mentioned reasons, the uncertainties of COVID-19 have greatly impacted the business survival and business profitability. It has also presented a challenging business survival and profitability issues; therefore, fast-changing tactics are required to be adopted for Fast Retailing group eg. stronger e-commerce technology platform.

Fast Retailing has been selling their apparels in physical stores and online sales ever since year 2010, with traditional focused on physical stores for sales revenue, and gradually shifting to online sales, and swiftly increasing the online sales in the recent years especially after the COVID-19 situation, where it has pushed customers in stay-home measures or in lockdown situation to turn to online purchase.

One of the business strategies adopted by Fast Retailing group is the Ariake project, and it is believed that through successful implementation, it will greatly enable the retail group to achieve a digitalised apparel retail business that will be able to connect global supply chain and commercialise information to the world. (FR, 2021)

1a) Strategy for transforming the Fast Retailing’s business

- 1) High emphasis on Ariake project and its progress
- 2) Focusing on LifeWear (ultimate everyday wear) that may be comfortable, and yet provide high quality lasting clothes
- 3) Low priced fashion apparel
- 4) Sustaining growth by contributing back to the society and corporate responsibility
- 5) Opening larger new strategic stores in best locations in Tokyo, Japan

- 6) Investing in huge resources to convert main business to e-commerce (FR, 2021)

Three Strategic themes

Vision (< 10 years)	Changing clothes. Changing conventional wisdom. Change the world.		
Mission (5 - 10 years)	To design unique great clothing that people will desire to wear, and the customers are happy and satisfied when wearing, to organise “information-driven SPA” company activities to inspire people lives and maintain corporate responsibility.		
Strategic Themes (3 – 5 years)	Financial soundness	Technology breakthroughs and progress	Environmental and corporate social responsibility

Figure 1a: Fast Retailing’s strategic themes

For next three years, Fast retailing can focus on the three strategic themes financial soundness, technology breakthroughs and progress, environmental and corporate social responsibility, which mainly set out the most important business strategies that will allow Fast Retailing to successfully transform the business eg. creating a high performing e-commerce platform to cater to the post COVID-19 business position in accordance with its vision and mission.

Fast Retailing seeks to uphold financial soundness such as good governance of sales, profitability, financial position, and cash flows.

Next, regarding technology breakthroughs and progress, Fast Retailing has recently embarked full-scale on the Ariake project which will transform the business into a new digital retail industry. The Ariake project aims to collect various customers information database from worldwide, thereafter, conducts analysis on customer needs and develops innovative products according to customers’ needs. (FR, 2021)

Fast Retailing sets out to contribute back to the society by donating money, clothing, and medical supplies as part of the initiatives for environmental and corporate social responsibility. (FR, 2021)

1b) Strategic objectives for each strategic theme

Balanced Scorecard perspectives

The balanced scorecard will provide a complete overview of the overall performance in four aspects namely financial, customer, business internal processes, and learning and growth. The

balanced scorecard acts to clarify the vision and mission of Fast retailing and drives for actions and improvement of performance. (Tay et al., 2021)

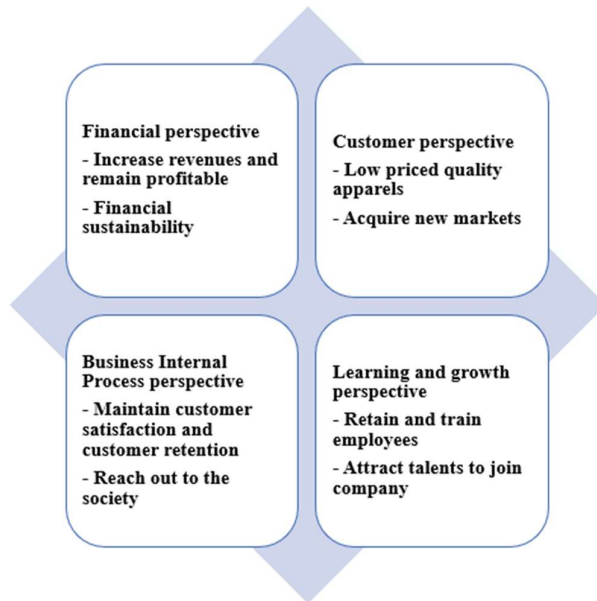


Figure 1b: Balanced scorecard perspective for strategic objectives (Ted J., n.d.)

For financial soundness, we linked the business objectives to the financial perspective such as increasing sales and maintaining a profitable business, it is also important to consider financial sustainability such as healthy cash flows.

For technology breakthroughs, we can relate the business objectives back to the customer and business internal process perspective, whereby Fast Retailing can utilise the Ariake project to collect customer information and using the information to improve customer service satisfaction, retain customers, and meeting customers' needs. The customer preferences identified can then introduce the types of low-priced quality apparels and increase market share. (FR, 2021)

For corporate and social responsibility, we have connected the business objectives back to the business internal process perspective such as reaching out to the society, promoting closeness to the community, interacting with worldwide countries through recycling efforts and waste management.

1c) Business performance measure

The strategic business performance measurement for Fast retailing refer to the process of implementing good business strategies through good planning performed by Fast retailing to systematically achieve its business strategies. Business performance can then measure the performance of Fast retailing. Thereafter, Fast retailing can rely on such performance indicators to take necessary actions to continue to improve strategies and align the company goals to the strategic objectives. (Tay et al., 2021)

Fast retailing can follow the general guidelines to build the strategy map, establish strategies, indicate strategic goals, measure business performance, and setting up business performance dashboards. (Tay et al., 2021)

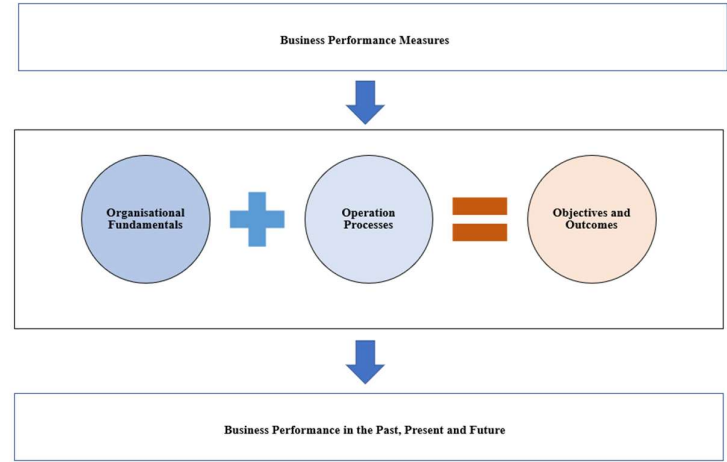


Figure 1c.1: Components of business performance measures

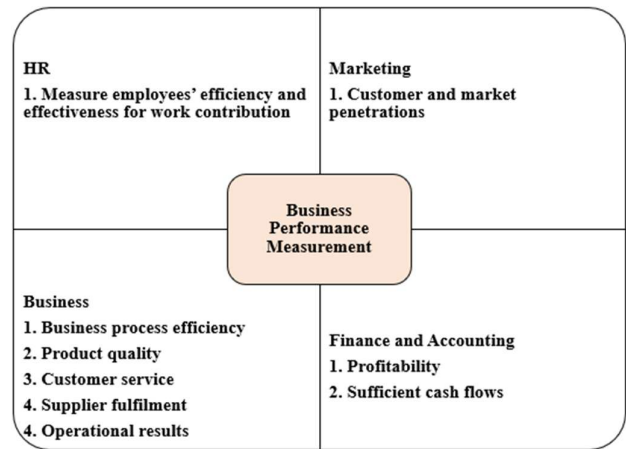


Figure 1c.2: Common business performance measures

Charts for visualisation

Bar charts can make easy comparison values across dimensions. We may also use stacked bars when there are more than two dimensions, attaching different colours for comparison. We will also use side-by-side bars to compare measures on one axis. We also find the line charts a simple and common way to visualise time series data.

Finally, we may go for combination charts format such as bar charts and line charts together for dual axis ranges using two different types of measures, to provide some distinction between two kinds of measures.

We will also use pie charts for simple percentage representation with three kind of measures, so that there may be only three slices on the pie charts for easy understanding. (Murray, D.G., 2013)

For increase revenues, we will select operational results as the business performance measure, the sales data retrieved from monthly sales for own stores and online stores will visualise sales data such as net sales and average purchases. We have implemented the three years forecast, reference line and parameter techniques on the line charts. We have also implemented the trend line on the line charts for monthly sales, and net sales vs customer number line charts.

For Financial sustainability, we will choose profitability and sufficient cash flows as the business performance measure, the combined bar and line chart will be created using the income statement data obtained from the annual reports, the charts will show operating profits, profits before income tax, profit for the period, and revenue. The cash flow statement obtained from the annual reports will create combined stacked bar and line charts showing net cash flows and free cash flows. We have used the reference line techniques for the two types of charts.

For acquire new markets, we will use market penetration as the performance measure, we have retrieved the numbers for group outlets sorted by countries location and map them on a geographic map to show the business market penetration in the respective countries. We can also use the parameter techniques to filter the top 20 countries with highest number of stores.

For maintain customer satisfaction, we will relate back to the performance measure for customer service, we have retrieved the data on customer satisfaction survey in percentage,

categorised by satisfied, dissatisfied and neutral level. We have created simple pie charts with three slices and showing the percentage in the label.

Reach out to the society, we will retrieve the countries names that received the donated clothing items from one of the recycling projects to illustrate the business process efficiency performance measure. We also included parameter techniques to filter out the top few countries that received the greatest number of donated items.

1d) Screenshot of charts

Trend line

The trend line is being added into a chart to help in reading data trend by fitting a straight line that will provide the best representation for the data pattern usually of predictive power if p-value is smaller than 0.05 and higher R-Squared value. (Murray, D.G., 2013)

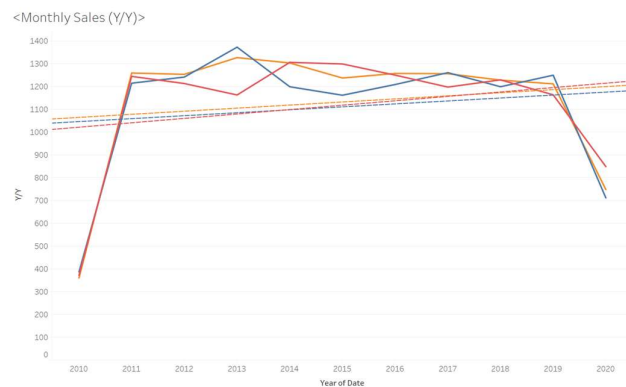


Figure 1d.1: Monthly Sales showing linear trend line

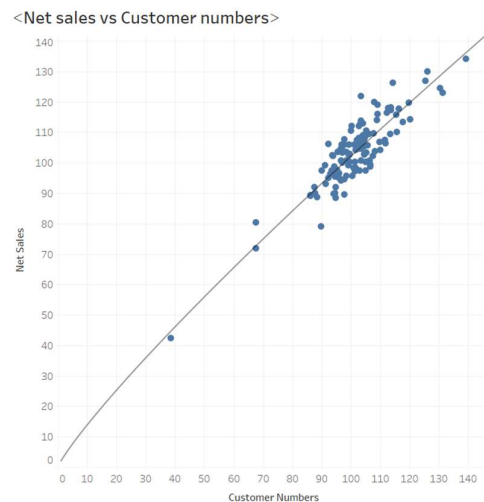


Figure 1d.2: Net sales vs customer numbers showing power trend line

Reference line

The reference line will allow us to compare the plotted results to benchmark figures, targets, or calculated values, and possibly indicate some explanation for data plots that do not follow the expected values. Reference line will also point out outliers outside normal distribution that may need further data understanding or investigation. (Murray, D.G., 2013)

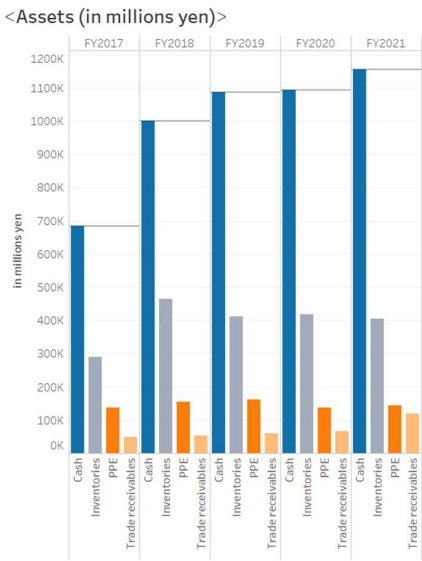


Figure 1d.3: Financial assets showing maximum reference line

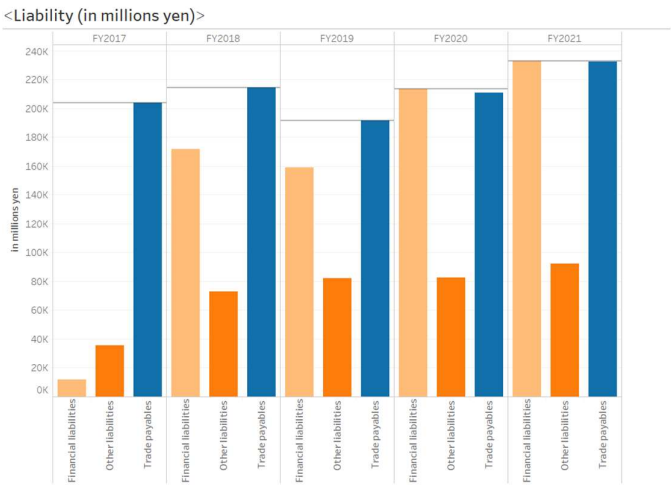


Figure 1d.4: Financial liabilities showing maximum value reference line

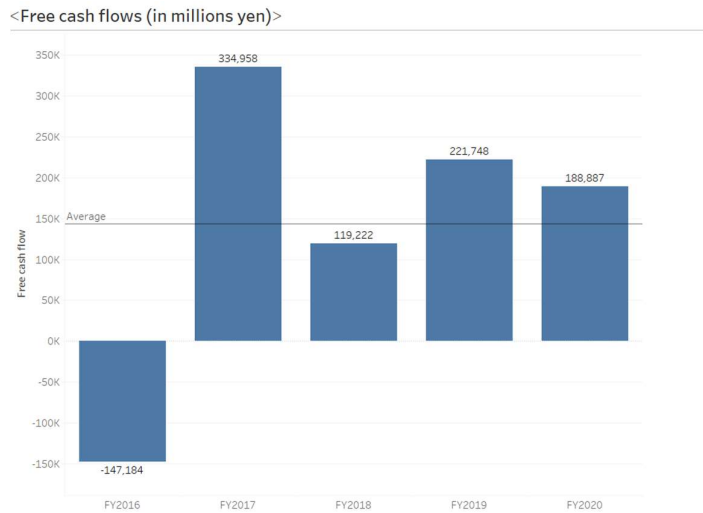


Figure 1d.5: Free cash flows showing average reference line

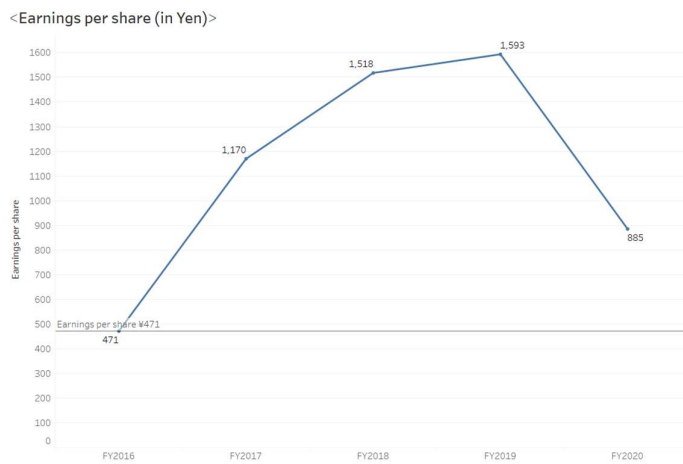


Figure 1d.6: Earnings per share showing minimum value reference line

Parameter

Parameters enable the viewer of the dashboard to view and adjust the facts or any dimensions that should appear. (Murray, D.G., 2013)



Figure 1d.7: Net sales using target net sales parameter reference line



Figure 1d.8: Uniqlo international outlets by year using parameter for top countries

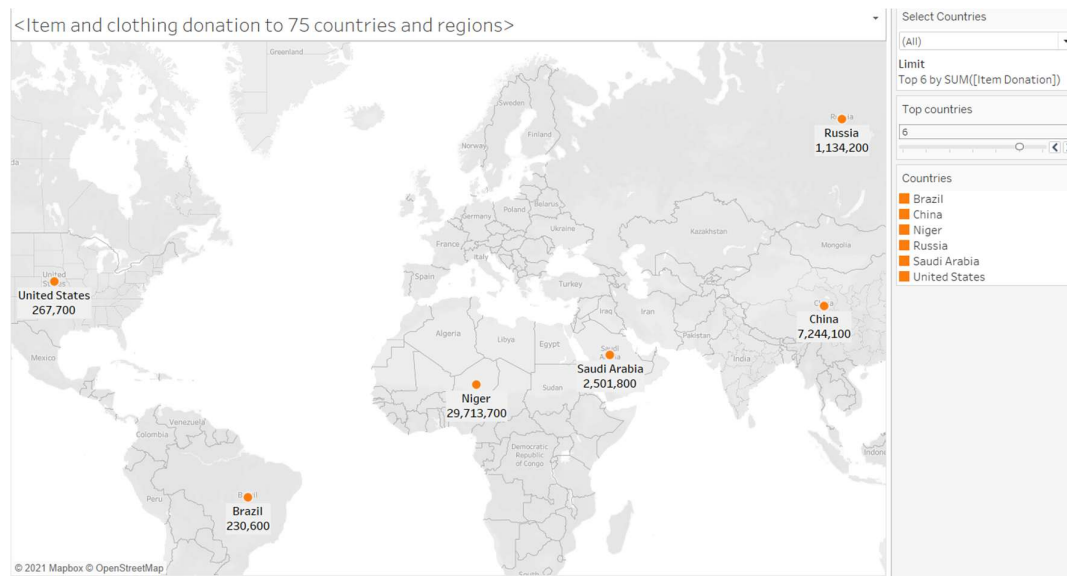


Figure 1d.9: Item and clothing donation using parameter for top countries

Forecast

Forecast can provide some possible insights into future sales data on trends and seasonality using past historical data. (Murray, D.G., 2013)

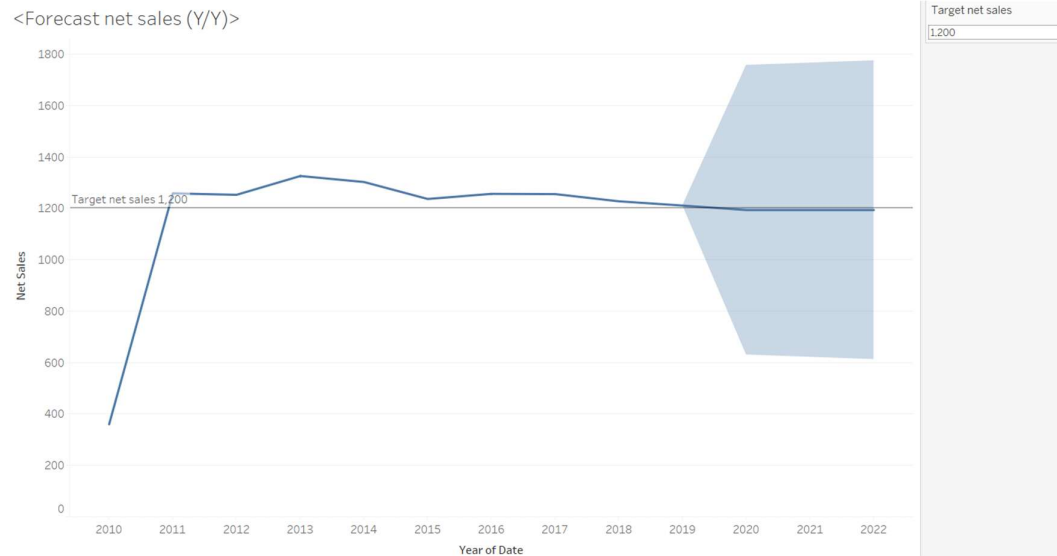


Figure 1d.10: Forecast net sales showing 3 years forecast and target net sales parameter reference line

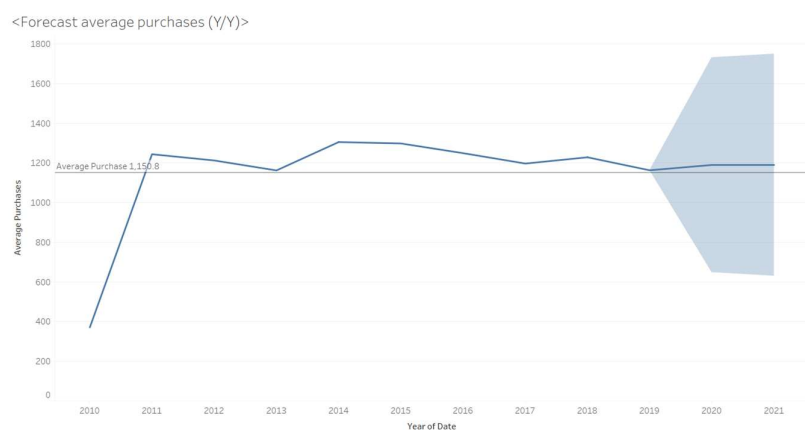


Figure 1d.11: Forecast average purchases showing 2 years forecast

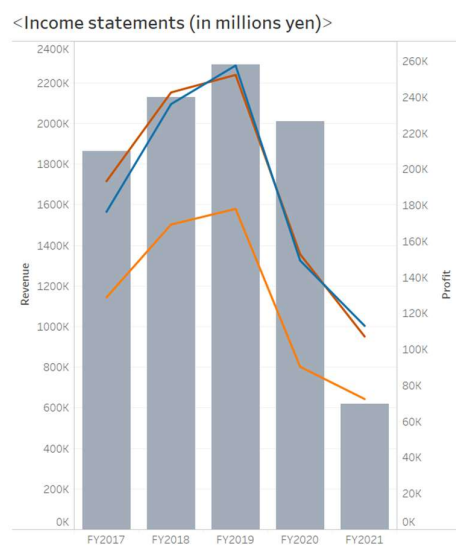


Figure 1d.12: Combined chart for Income statements

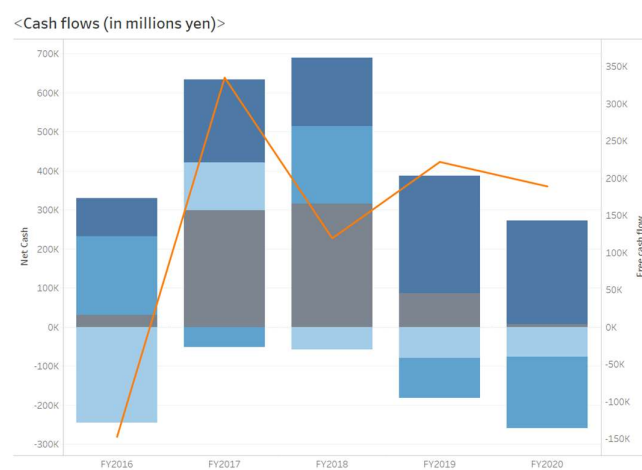


Figure 1d.13: Combined chart for Cash flows



Figure 1d.14: Greater China stores



Figure 1d.15: Pie charts for customer satisfaction level

1e) Dashboard design principles

We will basically follow the dashboard design principles such as keeping the dashboard as simple as possible to focus on main points, trying not to display all information and data available, formatting the dashboard to fit a page, using plain formatting, placing the important charts or information in the upper left or middle priority zone of the dashboard, formatting the data figures to 2 decimals and denominations in millions yen, always naming worksheets and inputting chart titles or dashboard titles. (Tay et al., 2021)

Other than that, there are some other dashboards building principles which can be considered to put into practise, using one primary colour scheme or gray, blue, orange colour, and testing and reducing overall dashboard loading time. (Murray, D.G., 2013)

When designing the dashboard, we feel that 2 or 3 pane dashboards would meet the needs for presentation to the board of directors in a meeting environment on a laptop. We will present the income statement results, financial position, financial highlights, cash flow position and group operations segment sales results, outlets expansion map and supply chain worldwide outreach as well as corporate responsibility efforts for the society.

Screenshot of Dashboard

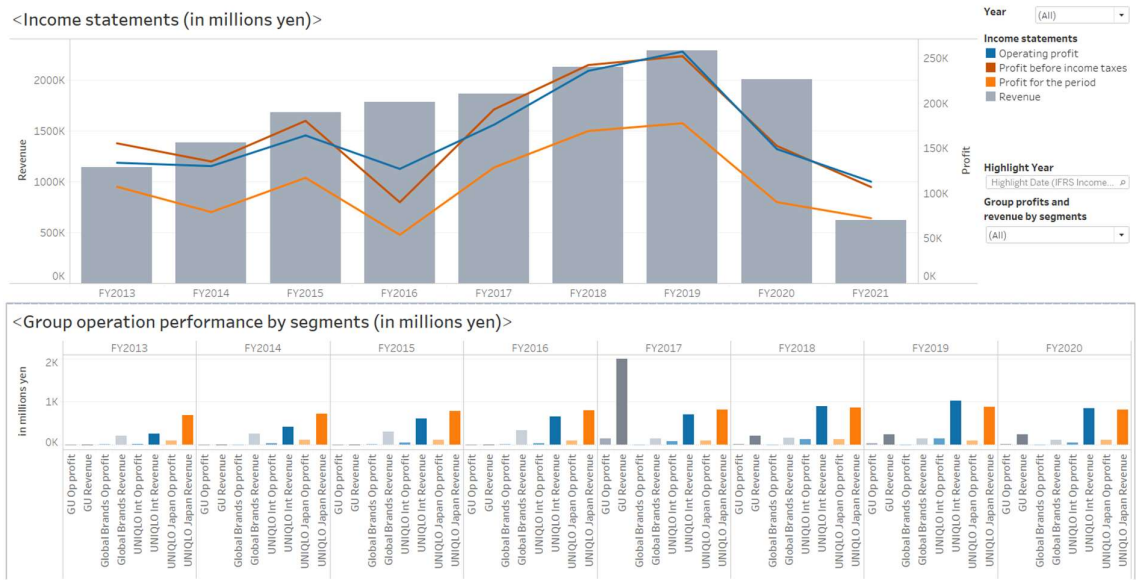


Figure 1e.1: Profits

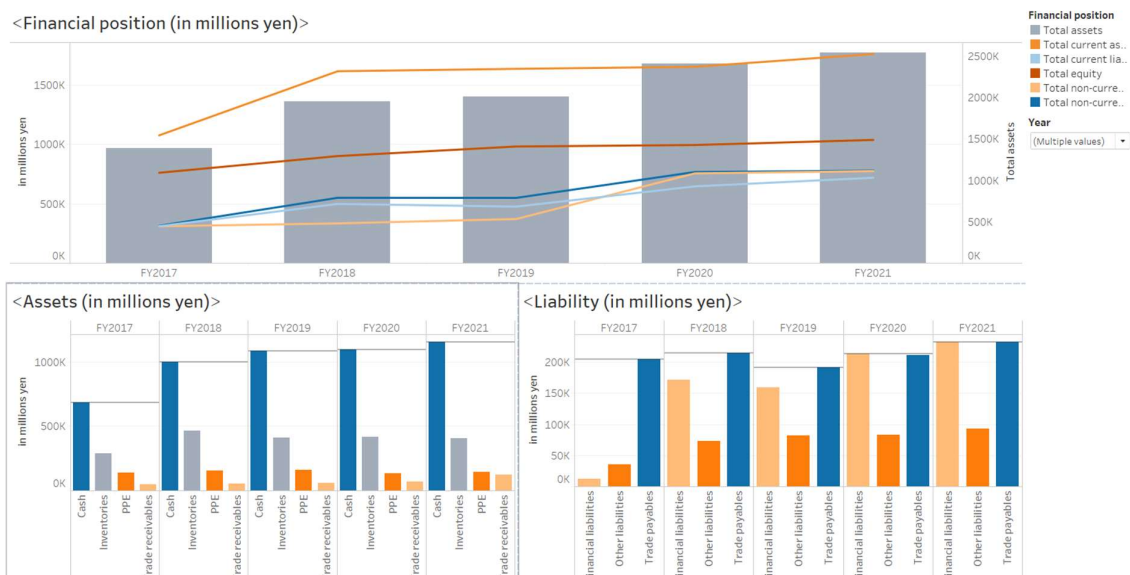


Figure 1e.2: Financial position



Figure 1e.3: Cash flows

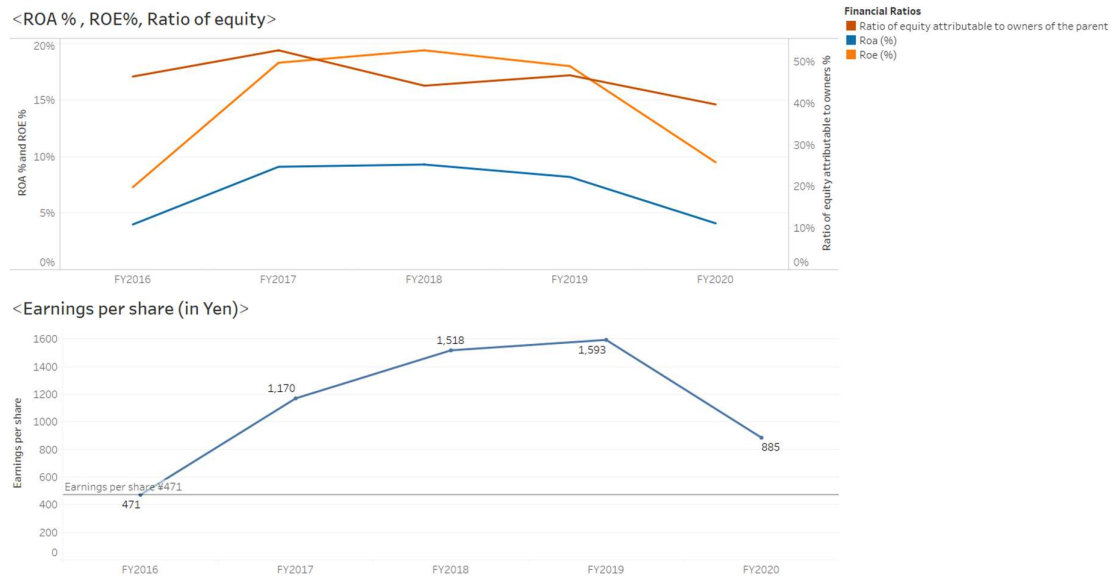


Figure 1e.4: Financial ratios

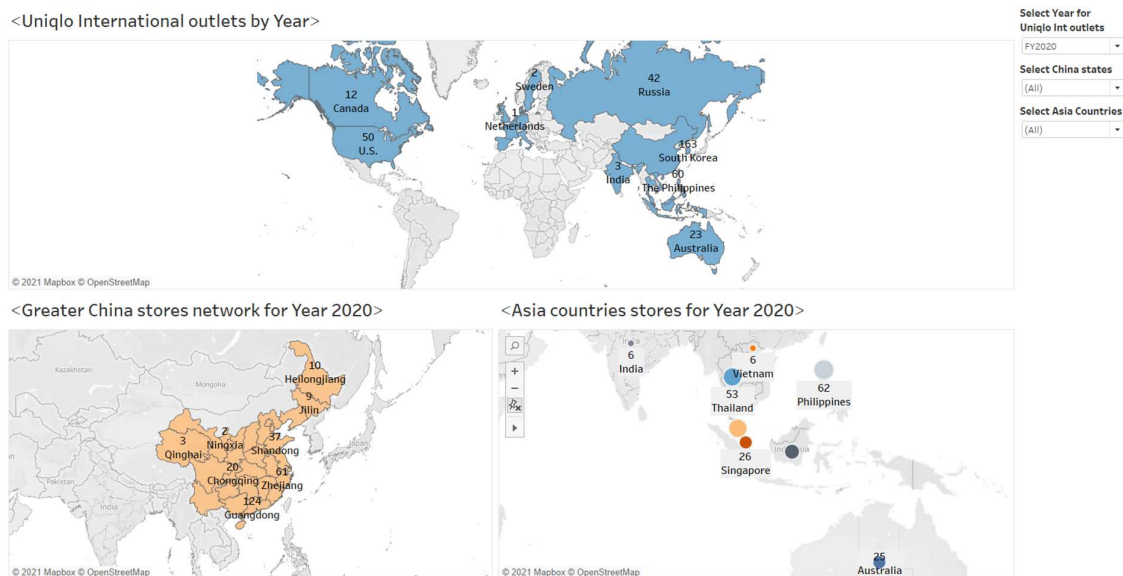


Figure 1e.5: Uniqlo international outlets

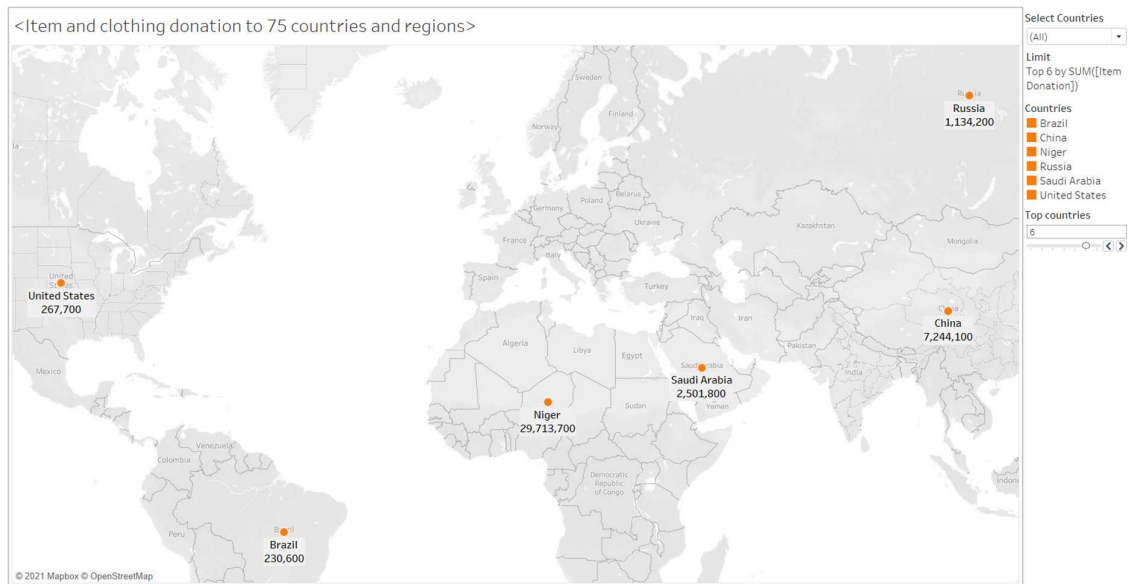


Figure 1e.6: Item and clothing donation to 75 countries and regions



Figure 1e.7: Forecast net sales and average purchases



Figure 1e.8: Customer satisfaction level survey

1f) Screenshot of Actions settings

Highlighting

We can highlight the graph showing year or all fields when hover over graphs.

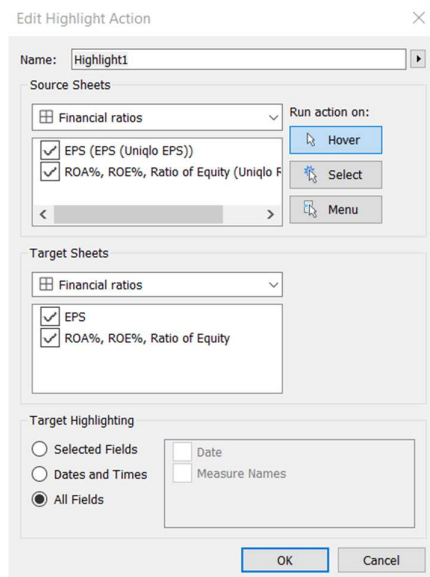


Figure 1f.1: Highlight action settings

Figure 1f.2 shows the 'Edit Highlight Action' dialog box. The 'Name' field is set to 'Highlight2'. In the 'Source Sheets' section, 'Cash flow' is selected from the dropdown, and 'Cash flows' and 'Free Cash flows' are checked in the list. The 'Target Sheets' section also has 'Cash flow' selected, with 'Cash flows' and 'Free Cash flows' checked. Under 'Target Highlighting', the 'All Fields' radio button is selected. The 'Run action on:' section has three buttons: 'Hover', 'Select', and 'Menu'. At the bottom are 'OK' and 'Cancel' buttons.

Figure 1f.2: Highlight action settings

Navigating to external HTTP link

We can input a HTTP link in the geographic map to navigate to external HTTP link such as Wikipedia websites showing countries or states details and information.

Figure 1f.3 shows the 'Edit URL Action' dialog box. The 'Name' field is 'Click on Hyperlink for Asia country info'. In the 'Source Sheets' section, 'Uniqlo Int outlets' is selected from the dropdown, and 'Asia stores (Asian countries outlets (Uniqlo Asian outlets))' is checked. The 'URL' field contains the text 'https://en.wikipedia.org/wiki/<Country>'. Below the URL field is a 'Test Link' button. The 'URL Target' section has three radio buttons: 'New Browser Tab' (selected), 'Web Page Object', and 'Browser Tab if No Web Page Object Exists'. There are also fields for 'Item Delimiter' and 'Delimiter Escape'. At the bottom are 'OK' and 'Cancel' buttons.

Figure 1f.3: Action settings for hyperlink for Asia country info

Edit URL Action

Name: Click on Hyperlink for state info

Source Sheets

Uniqlo Int outlets

Run action on:

Hover

Select

Menu

URL

https://en.wikipedia.org/wiki/<State>

Test Link

https://en.wikipedia.org/wiki/<State>

URL Encode Data Values

Item Delimiter: ,

Allow Multiple Values

Delimiter Escape: \

URL Target

New Browser Tab

Web Page Object

Web

Browser Tab if No Web Page Object Exists

OK

Cancel

Figure 1f.4: Action settings for hyperlink for state info

Edit URL Action

Name: Click on Hyperlink for country info

Source Sheets

Clothing donation

Run action on:

Hover

Select

Menu

URL

https://en.wikipedia.org/wiki/<Countries>

Test Link

https://en.wikipedia.org/wiki/<Countries>

URL Encode Data Values

Item Delimiter: ,

Allow Multiple Values

Delimiter Escape: \

URL Target

New Browser Tab

Web Page Object

Web

Browser Tab if No Web Page Object Exists

OK

Cancel

Figure 1f.5: Action settings for hyperlink for Asia country info

1g) Screenshots of storyboard

<Fast Retailing Storyboard>

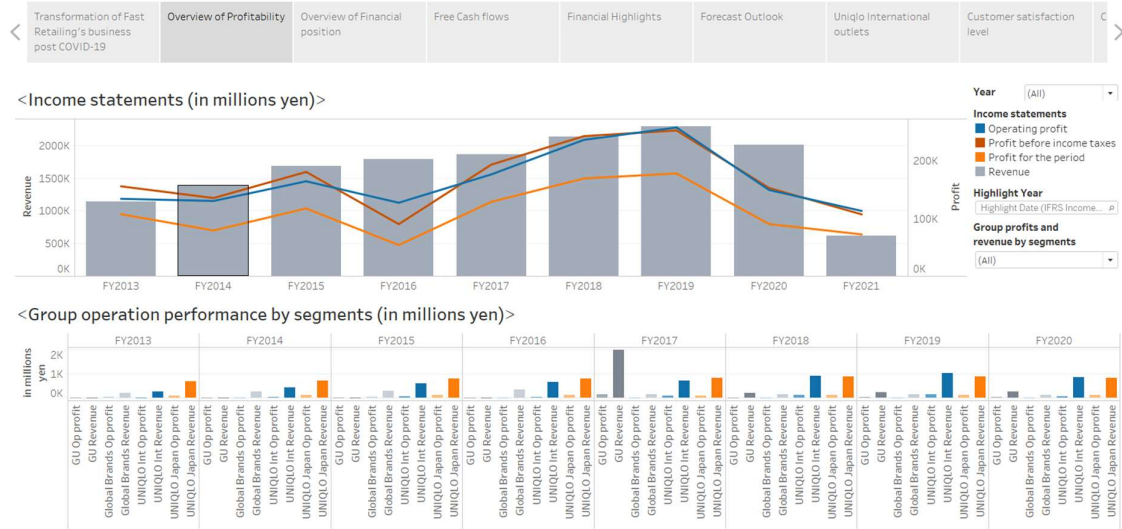


Figure 1g.1 Overview of Profitability

<Fast Retailing Storyboard>



Figure 1g.2 Overview of Financial position



Figure 1g.3 Free Cash Flows

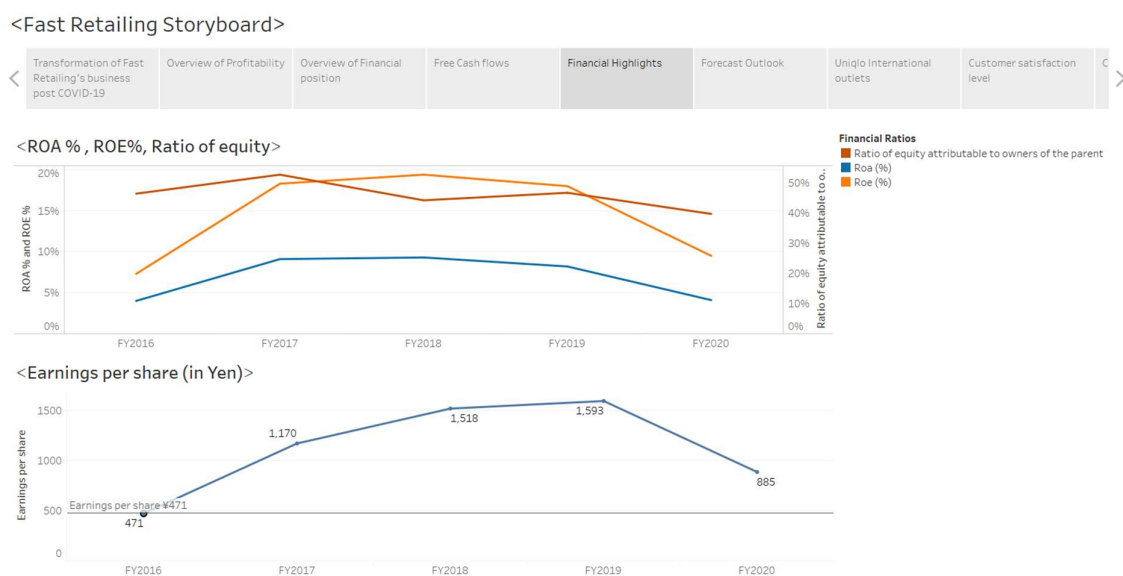
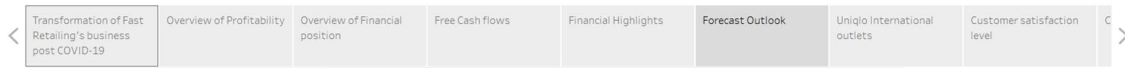


Figure 1g.4 Financial Highlights

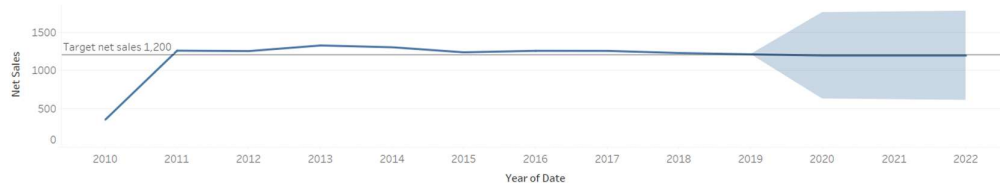
<Fast Retailing Storyboard>



<Forecast net sales (Y/Y)>

The net sales and average purchase forecast will remain steady for the next 3 years

Target net sales
1,200



<Forecast average purchases (Y/Y)>

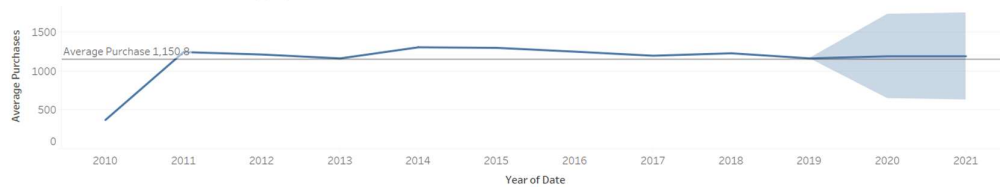
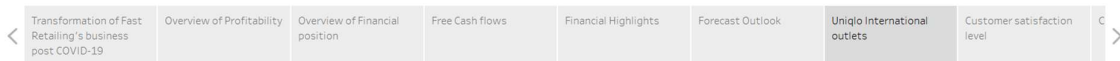


Figure 1g.5 Forecast outlook

<Fast Retailing Storyboard>



<Uniqlo International outlets by Year>



<Greater China stores network for Year 2020>

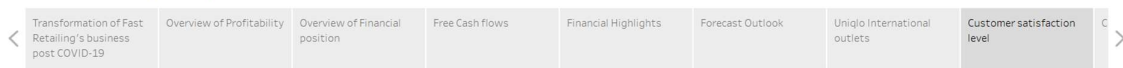


<Asia countries stores for Year 2020>

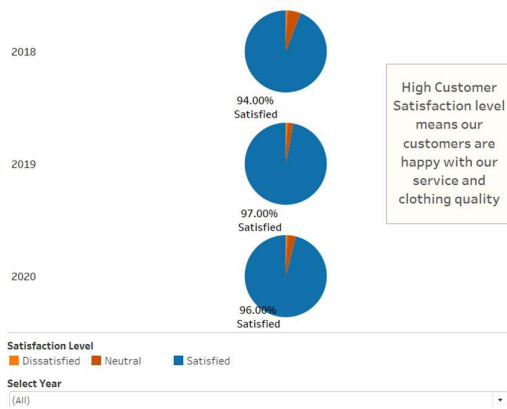


Figure 1g.6 Uniqlo international outlets

<Fast Retailing Storyboard>



<Customer satisfaction level %>



<Net sales vs Customer numbers>

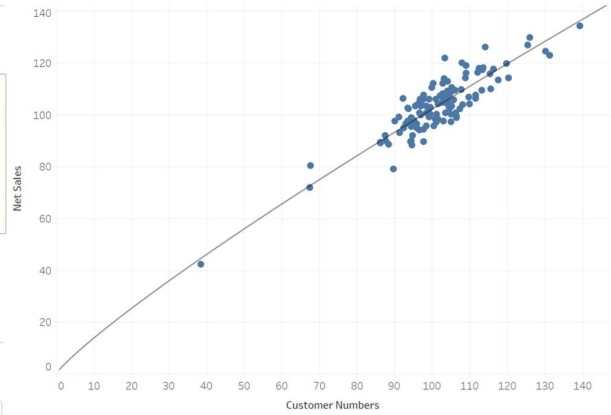
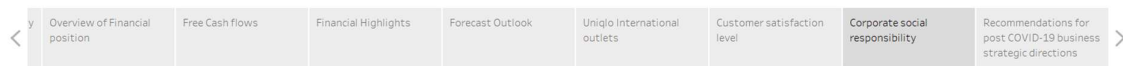


Figure 1g.7 Customer Satisfaction level

<Fast Retailing Storyboard>



<Item and clothing donation to 75 countries and regions>



Figure 1g.8 Corporate social responsibility

<Fast Retailing Storyboard>

<	Overview of Financial position	Free Cash flows	Financial Highlights	Forecast Outlook	Uniqlo International outlets	Customer satisfaction level	Corporate social responsibility	Recommendations for post COVID-19 business strategic directions	>
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<Greater China stores network for Year 2020>



<Asia countries stores for Year 2020>



Select China states

(All)

Select Asia Countries

(All)

Our recommendations for post COVID-19 business strategic directions

Accelerate Ariake Project for e-commerce success,
Expand our operations,
Maintain good Financial soundness

Figure 1g.9 Recommendations

1h) Explain insights from storyboard

We narrate the storyboard to highlight the three strategic themes financial soundness, technology breakthroughs, corporate social responsibility, and the strategic objectives starting by presentation of the profits and financial position, then the cash flows and financial ratios, followed by Uniqlo number of outlets, clothing donation, forecast, customer satisfaction survey, and lastly the expansion plan in post COVID-19 world.

We noticed a decline in revenue and profitability due to the COVID-19 situation where outlets operations are affected by temporally or permanent stores closures. Some customers are not able to purchase from the physical stores, more overseas customers may not be able to cross the borders to reach the respective countries' stores.

The financial position for the assets and the liability remains stable, there are sufficient cash to support the growing business and the expansion plan, however the financial liabilities and the trade payables showed a gradual increase trend. We observe lower free cash flows partly due to research and development and the huge investment in e-commerce and Ariake projects, which we strongly believe will reaps the benefits in the post COVID-19 world.

The Earnings per share has dropped drastically due to affecting businesses on a worldwide scale, we will continue to react to improve the Earnings per share figures in the next three years.

From the forecast, nets sales are forecasted to remain relatively steady.

We are pleased to find out from the customer satisfaction survey that our customers are very satisfied with the customer service and the apparel quality. We strive to keep the customers happy the same way, as customer satisfaction continue to drive the pathway for the business profitability.

We will continue to put in efforts and plans for our environmental and corporate social responsibility in the post COVID-19 world.

Our recommendations for the post COVID-19 include accelerate Ariake project for e-commerce success, expand in growing markets such as Greater China, Vietnam, and Singapore. We continue to monitor good financial soundness to maintain profitability.

A storyboard builds up visualisation by story points to tell the audience a decision to a business case or develop information to narrate data findings to the audience. The most important thing for a storyboard is to ensure that the storytelling is smooth flowing, keep to less loading time, and each story page is not overcluttered, and should be simple and clear on telling the story.

The advantages of storyboard communication compared to dashboard are the storyboard can create a storytelling and even include a dashboard within a story point. Text or narration can be input in each story point page to help improve the storytelling and story flow.

On the other hand, the dashboard can only show the data visualisation eg. 3 to 4 charts, the best with actions or annotations, without connecting to a story flow. A dashboard may not allow the audience to relate very well, as it does not support a story flow or back and forward story button whereas the storyboard may connect each story point or each dashboard sequentially and communicate more effectively to the audience. The audience will be able to relate the idea better from page to page of story points that are well built to connect and complement each other. (Tableau, 2020)

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